

The Pros and Cons of SaaS

Aspect	Single-tenant SaaS	Multitenant SaaS	On-premises
Implementation	Relatively faster to implement as it leverages a ready-made platform which has already been provisioned, implemented, and tested by the vendor.		- Takes time, personnel, and equipment to set up a new environment. - Additional hardware/software purchases may be needed.
Customization	Customization is relatively easier compared to Multitenant SaaS if application provides the flexibility.	Customization may not be possible as the application instance will be shared by multiple users.	Most flexible option for customization. Vendor involvement minimal.
Support & Maintenance	- Minimal IT dependency for application maintenance. IT involvement will be limited to customizations and validation review. - SaaS vendor takes care of infrastructure risks to ensure high availability and disaster recovery. - Control is relinquished to a third-party vendor. You must entrust valuable data to the vendor.		- You are responsible for maintaining the application; your IT is responsible for ensuring high availability and disaster recovery. - Offers control over your data and provides greater sense of ownership.
Upgrade Cycles	- You will have decision authority on timing and functionality of an upgrade when compared to Multitenant SaaS. - Your involvement will be limited during a validation review.	- SaaS upgrades tend to be iterative with your limited involvement. - You will be informed about impending system upgrades. - IT involvement during upgrade will be minimal (depending on validation procedure).	You own the responsibility for upgrades, which are often expensive and time-consuming.

The Pros and Cons of SaaS

Aspect	Single-tenant SaaS	Multitenant SaaS	On-premises
Cost	• Low entry cost & flexible pricing. • Relatively high year-over-year maintenance costs compared to On-Premise deployment. • Low internal resources required for support. • Upgrade costs will be low.	• Low entry cost & flexible pricing. • Relatively high year-over-year maintenance costs compared to On-Premise deployment. • Low internal resources required for support. • Upgrade costs will be minimal.	• High entry and operations costs compared to SaaS due to infrastructure and support staff needs. • Low ongoing maintenance fee. • Tangible hardware assets. • Upgrade costs will be high.
Security	• With high-end vendors, SaaS systems can be highly secure with expert supervision of network and server security.		• Additional time and software for security required.
Validation for Regulatory Compliance	• Vendor will provide baseline validation for your review. Enforcing regulatory requirements is easier compared to Multitenant SaaS due to complete control of the environment.	• Vendor will provide baseline validation for your review.	• You will be responsible for the full validation effort. Enforcing regulatory requirements is easier compared to Multitenant SaaS due to complete control of the environment.
Integrations	• Integrations with other corporate systems can get complicated because data will often be sent over the internet. SaaS vendors should have well-defined web services as integration points.		• Integrations can be relatively simpler over the intranet. Data transfer between systems will be faster.
Scalability	• As the enterprise grows, solutions can be easily scaled up with little time and effort. Similarly, solutions can be scaled down without wasting resources.		• Needs long-term planning and commitment of resources for scaling.